

State of Supply Chain 25'

The New Trade Reality:

A Strategic Briefing

August 2025

Google



International
Growth
Team AMER

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These do not reflect Google's point of view.



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The Foundation of Global Commerce Has Fundamentally Shifted

EXECUTIVE SUMMARY

The era of predictable, low-cost global trade has ended.

A new landscape defined by policy volatility, fracturing consumer bases, and resilient-first supply chains is emerging.

For the C-suite, this is more than a logistical challenge; it's a new landscape where risk, cost, and competitive advantage are defined by supply chain decisions.

This briefing provides a framework for navigating what's next.

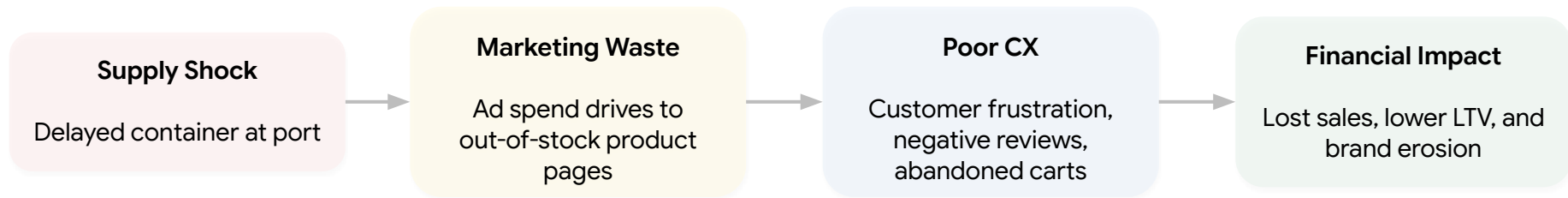
The background of the slide is a dark, aerial photograph of a large container ship sailing on the ocean. The ship is viewed from above, showing its deck loaded with numerous colorful shipping containers. The ship's wake is visible in the water. The overall tone is dark and professional.

Your Supply Chain Is Now a Brand Accelerator

The new strategic asset for managing risk,
operations, & reputation.

The True Cost of a Disconnected Strategy

A single supply chain disruption creates a cascade of value destruction.



From Logistics Challenge to Boardroom Imperative

Recent shifts directly impact the promises you make to your customers and shareholders

8+ Days

Increased Port Dwell Times

Impact:

Delayed deliveries, increased inventory holding costs, and a compromised customer experience

+5%

Spike in Air Freight Rates

Impact:

Eroded margins, increased shipping costs, and pressure on expedited shipping options

15%-30%

Potential Landed Cost Fluctuation

Impact:

Unpredictable profitability, increased financial risk, and potential operational complexities.

The background of the slide is a collage of three circular images. The left circle shows a woman with blonde hair and glasses, smiling and holding a pen. The middle circle shows a woman with dark curly hair looking down at a laptop. The right circle shows a man with a mustache holding up yellow sticky notes. A white banner with a blue, green, and yellow border is overlaid on the images.

Decoding the New Trade Reality

Perspectives on **Margin, Resilience, & Demand**
from Your Executive Team



CFO

Driving Margin &
Mitigating Risk



COO

Forging Resilience
& Agility



CMO

Growing Demand &
Protecting Reputation

Perspectives on **Margin, Resilience, & Demand**
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How Supply Chain Volatility Directly Impacts **the Bottom Line**

Tariff Volatility:

Your COGS are no longer a stable input.

The core challenge is modeling the P&L impact of unpredictable tariff scenarios (10-25%) from key markets.

Direct Margin Erosion:

A direct and sustained pressure on gross margins.

Rising logistics costs and new shipping regulations represent a new challenge, forcing a constant choice between price hikes or profit loss.

Capital Risk:

Every dollar tied up in 'just-in-case' inventory is a dollar not working elsewhere.

The key is balancing the high cost of overstocking against the existential risk of understocking critical products.



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Forging **Operational Resilience** in the Face of Disruption

The End of "Just-in-Time":

Delays are the new standard.

The focus must shift from pure efficiency to building a network that can absorb shocks; "just-in-case" is the new operational baseline.

Critical Supplier Dependency:

Reliance on a single source is your greatest vulnerability.

Over-reliance on single-threaded sourcing has moved from a calculated risk to the single greatest operational vulnerability. A formal diversification and redundancy plan is now essential.

The Bullwhip Effect:

Inventory imbalance is a direct consequence.

The combination of volatile demand and unpredictable supply creates an inventory imbalance: either costly stock-outs (lost sales) or costly excess inventory (trapped capital).



The Brand Is The Supply Chain: A New Era Of Marketing

A Splintering Consumer Base:

Your customer base is bifurcating.

High-income spending is accelerating, while low-income spending is flat. A one-size-fits-all marketing strategy is now guaranteed to fail.

The New Brand Risk:

A late delivery is a broken brand promise.

Shipping delays are no longer a "logistics issue." They directly impact customer satisfaction and long-term loyalty.

Messaging Whiplash:

Communication is a tightrope walk.

You must communicate value to price-sensitive segments while capturing growth from premium buyers, all while managing in-stock availability.

Deep Dive: Consumer Dynamics



Your Customer Base is Splintering

The Resilient Spender

Who They Are:

Higher-income households.

What They Are Doing:

Spending continues to accelerate (YoY growth of 1.8%).

The Signal:

They are driving nearly all current market growth and are actively spending on premium and discretionary goods.

The Cautious Consumer

Who They Are:

Lower-income households.

What They Are Doing:

Spending has gone flat (YoY growth of 0%).

The Signal:

They are highly price-sensitive, pulling back on non-essentials, and actively seeking value.



C-Suite Takeaway

This divergence has significant implications for forecasting revenue, planning inventory, and allocating marketing spend in 2026

The Fluid Consumer Journey

Modern expectations have fundamentally reshaped the path from purchase to post-delivery

BOPIS:

A New Strategic Asset

Returns:

The New Loyalty Driver

Transparency:

Beyond Basic Tracking

Convenience is the New Currency

Modern consumers expect a seamless blend of digital and physical fulfillment options that prioritize speed, flexibility, and cost-effectiveness.

The Rise of BOPIS

Buy-Online-Pickup-In-Store (BOPIS) is a powerful example of this shift. It has become a standard offering, blending the ease of e-commerce with the immediacy of physical retail.

16.5%

Projected CAGR of the US BOPIS market between 2025 and 2033.

From Cost Center to Strategic Asset

A flexible fulfillment network is no longer a 'nice-to-have.' Offering options like BOPIS and same-day delivery is crucial for meeting customer expectations.

Physical stores turn into **strategic assets for local fulfillment**, reducing last-mile delivery costs.

Returns are the New Battleground

The post-purchase experience is now as important as the pre-purchase one. A seamless returns process is a powerful driver of loyalty and trust.

65%

of online shoppers prioritize easy returns when choosing a retailer

The Bottom Line Impact:

Friction in the returns process—whether it's cost, complexity, or lack of options—directly translates to lost sales and customer churn.

Treating reverse logistics as a core part of the customer experience is essential for sustainable growth.

Beyond Speed: The Demand for Transparency

Post-purchase visibility is no longer a feature, but a standard expectation for the modern consumer.

The Strategic Imperative

This is not about logistics; it's about trust and managing expectations. Proactive communication and accurate ETAs are crucial retention tools that reduce customer service costs.

The Business Impact

Companies that use real-time tracking can see a

40-70%

Drop in WISMO Inquiries

The Rise of the **AI-Powered Consumer**

Generative AI is rapidly moving from a novelty to a utility, fundamentally changing how consumers search for, discover, and make decisions about products.

From Keywords to Conversations

Consumers are beginning to use natural, conversational language to ask complex shopping questions, expecting nuanced, personalized answers.

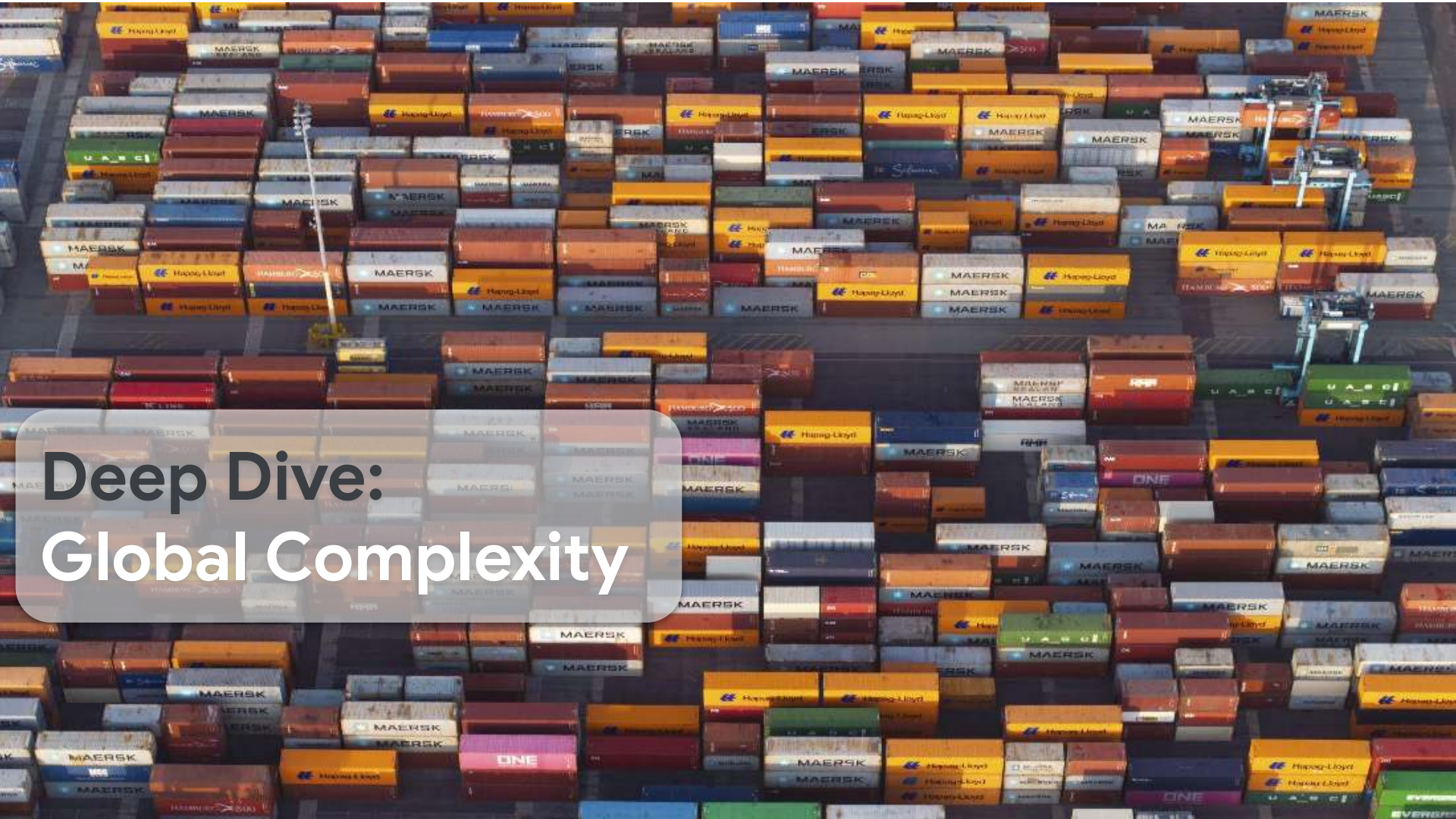
71%

of consumers who have used
generative AI for shopping are
satisfied with the results.

The Supply Chain Implication:

This shift from "blue widget" to "what's the most durable, ethically-sourced widget for under \$50?" creates new demand signals.

Supply chains must be transparent and data-rich enough to answer these complex queries, as product attributes like origin, materials, and sustainability become key selling points.



Deep Dive: Global Complexity

The New Map of Global Trade

Yesterday's reliable routes and stable policies have given way to a landscape of continuous change and unpredictability.

A Shifting Regulatory Landscape

The global trade environment is experiencing significant policy shifts, creating a highly uncertain environment for businesses.

The Challenge: Policy Volatility

Recent policy changes have pushed average U.S. tariff rates to their highest levels in decades, with frequent and often unexpected adjustments making long-term planning difficult.

The Business Reality

This creates direct impacts on cost of goods, introduces inflationary pressures, and complicates international sourcing strategies.

Transportation Market Update

Market demand is flat, but key regional congestion and rate volatility persist

Ocean Freight Market Update

Trans-Pacific

Demand remains flat with market overcapacity. Spot rates have significantly declined, despite record volumes at key ports like Los Angeles due to tariff frontloading. Space is widely available.

Asia to Europe (FEWB)

Destination port congestion has re-emerged with yard utilization in Rotterdam (75-85%) and Southampton (90-95%) causing delays.

Trans-Atlantic (TAWB)

Heavy congestion continues, with vessel dwell times up to 7 days at Antwerp.



Air Freight Market Update

Overall Demand

The picture is mixed, with some areas softening while others remain tight.

Asia - US

North China-U.S. demand is stabilizing, but overall e-commerce demand has decreased. Vietnam remains a tight market due to a pre-peak season surge

MESA Challenges

Volumes and rates continue to decline due to regional instability



The Strategic Response: Diversification

Relying on a single region for key components is now a significant business risk. Leaders are actively pursuing multi-sourcing strategies.

A Shift in Global Trade Lanes

There is a clear shift in trade from traditional hubs towards new regions. Companies are exploring near-shoring and investing in technology for a complete, real-time picture of their supply network to enable faster, smarter decisions.

Key Trend: Trade and investment are accelerating into the "Global South" (e.g., Latin America, Southeast Asia, Eastern Europe).

The background image is a wide-angle shot of a busy container port. In the foreground, there are large stacks of shipping containers in various colors, including red, blue, and white. Some of the white containers have the 'YANG MING' logo. In the middle ground, several large green gantry cranes are visible, their long jibs extending over the container stacks. The sky is a clear, pale blue. The overall scene conveys a sense of large-scale industrial logistics and global trade.

Implications for Leaders

The era of static, predictable global trade is over.

End-to-end visibility and predictive risk modeling are no longer nice-to-haves; they are essential for survival and growth

A New Framework for a **New Reality**

In today's volatile landscape, incremental adjustments are **insufficient**;

A New Operational Blueprint Is Required.

The “Triple-A Supply Chain” Framework

Stanford University’s [“Triple-A Supply Chain”](#) framework serves as a strategic blueprint for transforming your supply chain **from a cost center** into a source of **durable competitive advantage**.



Agility



The ability to react swiftly to sudden, short-term disruptions.

Adaptability



The ability to adjust to long-term structural market shifts.

Alignment



The ability to align the interests of all partners in the supply chain.



ENGINEERING AGILITY

Pilot a Demand-Sensing Early Warning System

The first step toward agility is to move from reaction to anticipation. A focused pilot program can connect real-time Google Search trends with sales data for a single product category. This test creates a predictive engine to inform inventory and marketing decisions before demand fully materializes.

Actionable Next Steps

1. **Scope Pilot:** Select one high-impact product category and define key metrics for success (e.g., forecast accuracy, stock-out reduction).
2. **Integrate Data:** Connect Google Trends API data with internal sales data in a secure environment like BigQuery.
3. **Visualize & Model:** Build a simple dashboard to visualize correlations and develop a preliminary predictive model.
4. **Report & Scale:** Deliver a report on pilot findings and a business case for scaling the system.

Honest Assessment of Effort

Medium

The primary effort involves data integration and requires collaboration between IT and marketing teams.

The modeling and analysis could potentially be assisted by Google's technical resources.



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ENGINEERING **AGILITY**

Pilot a Demand-Sensing Early Warning System

Quantifies the ROI of Predictive Analytics

This capital-efficient test provides a direct line of sight into margin protection by reducing overstock costs and capturing high-margin demand spikes before competitors.



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ENGINEERING **AGILITY**

Pilot a Demand-Sensing Early Warning System

Deliver Operational Foresight

Instead of managing stock-out crises, this pilot gives the logistics team an early view of demand surges, enabling proactive adjustments to inventory and distribution before the customer is impacted.



ENGINEERING **AGILITY**

Pilot a Demand-Sensing Early Warning System

Transform Marketing Data Into Strategic Intelligence

Empowers a more surgical alignment of ad spend with real-time consumer intent, maximizing media efficiency and building a brand narrative around being deeply connected to customer needs.

Architecting Adaptability



Conduct a Strategic Sourcing Audit

To prepare for long-term structural change, a strategic audit is the logical first step. This analysis models the costs, benefits, and risks of shifting a portion of production from a primary region to two high-potential alternative markets, identified using Google's Market Finder toolkit.

Actionable Next Steps

1. **Assess Risk:** Identify and quantify single points of failure within the current sourcing and manufacturing network.
2. **Identify Markets:** Use Market Finder to generate a data-driven shortlist of 5-7 potential alternative sourcing regions.
3. **Model Financially:** Build a comparative cost-benefit model for the top 2-3 shortlisted regions, factoring in logistics, tariffs, and labor.
4. **Present Roadmap:** Deliver a strategic brief with a phased, multi-year roadmap for supplier diversification.

Honest Assessment of Effort

Low to Start

The initial audit is primarily a strategic planning and analysis exercise.

The effort is low for this phase, while the execution of diversification would be a subsequent, high-effort initiative.



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ARCHITECTING **ADAPTABILITY**

Conduct a Strategic Sourcing Audit

Building the Financial Case for Resilience

This audit delivers a concrete, data-driven business case for de-risking the supply chain. It elevates the discussion from a hypothetical "what if" to a rigorous financial model, quantifying the value of tariff mitigation and long-term supply stability.



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ARCHITECTING **ADAPTABILITY**

Conduct a Strategic Sourcing Audit

The Blueprint for a Future-Proofed Supply Chain

This is the blueprint for a future-proofed supply chain. The audit will identify the most operationally sound sourcing locations, creating a prioritized, multi-year roadmap for structural evolution that can be executed methodically.



ARCHITECTING **ADAPTABILITY**

Conduct a Strategic Sourcing Audit

Turning Reliability into a Powerful Brand Promise.

Adaptability can become a powerful brand promise: reliability. When competitors face disruption, you can market stability and trust. This audit provides the operational proof needed to build that brand narrative.

Forging Alignment

A large flock of birds, possibly starlings, is captured in mid-flight against a dramatic sunset sky. The birds are arranged in a loose V-formation, with a smaller group trailing behind to the left. The sky transitions from a deep orange near the horizon to a pale purple at the top. The overall mood is one of movement and harmony.

Forging **Alignment**

Launch a 'Shelf-to-Doorstep' Data Connection Pilot.

True alignment is built on a single source of truth, creating a seamless system where all partners share incentives. A foundational pilot can connect two vital but often siloed data sets: the pre-purchase customer journey (ad engagement, site behavior) and the post-purchase fulfillment journey (inventory levels, shipping status). This breaks down internal barriers and creates a unified view of the customer experience.

Actionable Next Steps

1. **Map the Journey:** Document the current data flow from first ad click to final delivery, identifying key disconnects and data silos.
2. **Define Pilot Scope:** Select one critical connection point to bridge (e.g., linking specific ad campaign data to post-purchase fulfillment data).
3. **Integrate & Unify:** Use a central platform like Google Cloud to connect and unify the two selected data sets.
4. **Analyze & Visualize:** Create a unified dashboard to track the end-to-end journey and measure the impact on key business metrics.

Honest Assessment of Effort

High

This initiative is technically complex and requires significant cross-functional buy-in from marketing, operations, and IT.

It is a foundational investment in future capabilities.

FORGING **ALIGNMENT**

Launch a 'Shelf-to-Doorstep' Data Connection Pilot



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Revealing the True Cost-to-Serve and CLV

This pilot can directly impact profitability by revealing information gaps. Understanding the true end-to-end cost-to-serve allows for an accurate calculation of Customer Lifetime Value (CLV), optimizing future investments.



FORGING **ALIGNMENT**

Launch a 'Shelf-to-Doorstep' Data Connection Pilot

Using Data to Optimize the Fulfillment Process.

This test provides a real-time view of the operational pipeline. It helps answer critical questions—like the impact of delivery speed on return rates—that are essential for optimizing the entire fulfillment process and improving efficiency.



FORGING **ALIGNMENT**

Launch a 'Shelf-to-Doorstep' Data Connection Pilot

Closing the Loop Between Ad Spend and Loyalty.

This is the key to mastering the customer experience. Connecting marketing signals with fulfillment data makes it possible to personalize communications and finally close the loop between ad spend and brand loyalty.

The C-Suite Imperative: From Awareness to Action

A unified view of the new trade reality and its impact on leadership priorities.

	Agility (Reacting to Now)	Adaptability (Preparing for Next)	Alignment (Integrating for Value)
CFO (Cost)	Protecting margins with data	Funding a resilient infrastructure	Connecting supply costs to ROI
COO (Ops)	Using real-time supply signals	Building a flexible fulfillment network	Sharing data across all partners
CMO (Brand)	Matching marketing to inventory	Targeting high-value customer segments	Unifying brand promise with delivery



From Framework to Action

The following questions are designed to translate the Triple-A framework into a concrete strategic plan for your leadership team's 2026 planning.



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Impactful Questions for 2026 Planning



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Questions for 2026 Planning

Ensure your most significant issues are built into next year's annual plan by bringing these questions

Tariff Volatility: How are we evolving our financial models to treat tariff and logistics costs as dynamic variables rather than fixed inputs?

Direct Margin Erosion: Is our current pricing infrastructure agile enough to respond to sudden cost shocks in weeks instead of quarters? If not, what is the business case for investing in a dynamic pricing engine?

Capital Risk: In a scenario with extended shipping times, how do we manage the impact on our cash conversion cycle when capital is tied up in transit for 2-3 weeks longer than planned?



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Questions for 2026 Planning

Ensure your most significant issues are built into next year's annual plan by bringing these questions

The End of "Just-in-Time": How can we better integrate the CMO's real-time demand signals with the COO's supply-side data to create a more accurate and unified forecast?

Critical Supplier Dependency: Have we mapped our entire supply chain to identify and quantify the risk of single points of failure, not just with Tier 1 suppliers, but with critical Tier 2 & 3 component providers?

The Bullwhip Effect: Where in our network should we strategically position "just-in-case" inventory to best buffer against port congestion and shipping delays without excessive carrying costs?



Questions for 2026 Planning

Ensure your most significant issues are built into next year's annual plan by bringing these questions

A Splintering Consumer Base: Recognizing the value of high-end consumers, what is our strategy to build our first-party data assets to better identify, understand, and retain these most profitable customers?

The New Brand Risk: How are we monitoring social media and customer service channels for sentiment related to price increases or delivery delays, and what is our playbook to respond?

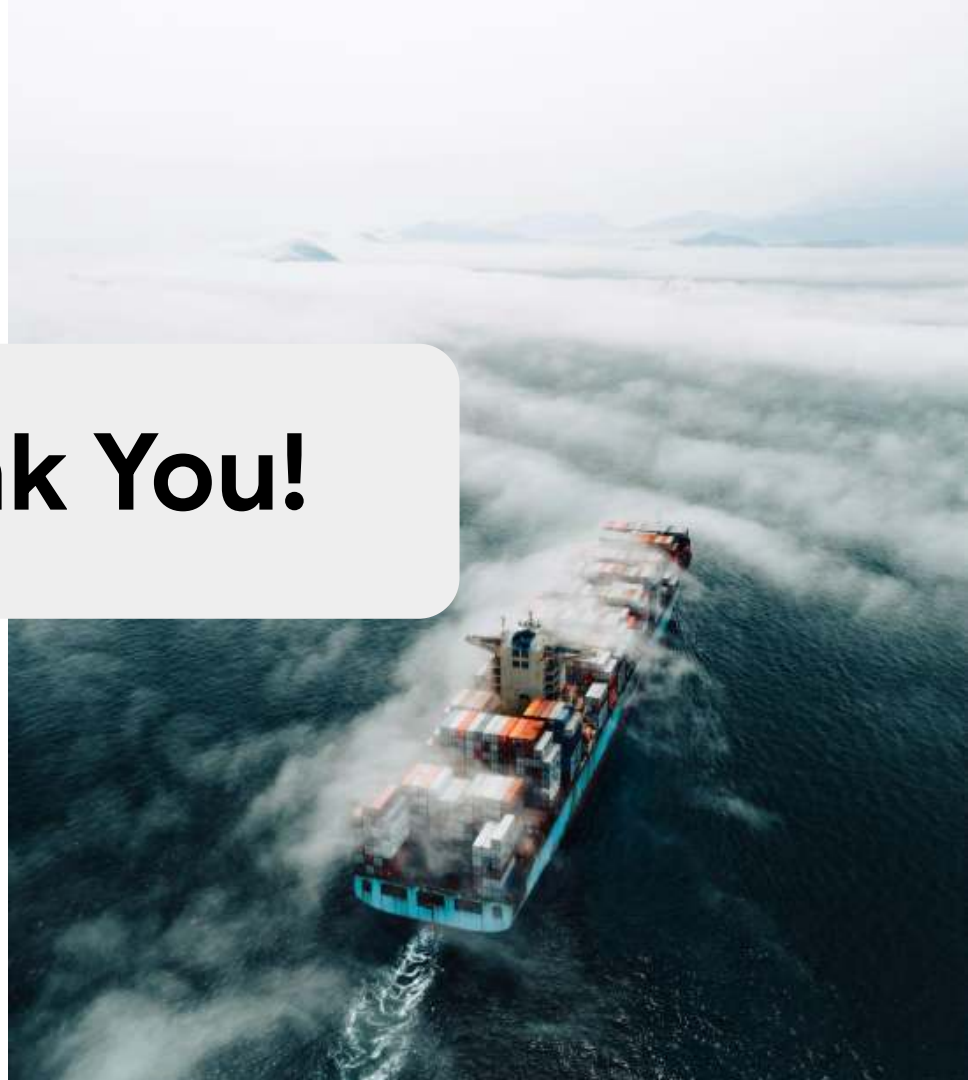
Messaging Whiplash: How are we using real-time signals, like Google Trends, to ensure we aren't driving demand for products that may be out of stock or facing significant delays?

Thank You!



International Growth Team | Global Business Solutions

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We Want Your **Feedback!**



Please take a moment to fill out our [feedback survey](#) and let us know how we can make this report even more impactful



State of Supply Chain Feedback Survey

Thank you for your interest in the IGT/GBS State of Supply Chain Report!

We put a lot of effort into ensuring this report brings the most relevant data to our customers and would love your feedback to help make the report even more impactful.



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